THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

Road No. 5, VKIA, Jaipur — 9887258679

CLASS 10 — SOCIAL SCIENCE · MEDIUM LEVEL CHAPTER TEST SET 2

Chapter 19: **Money and Credit (Economics)** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. Medium level: multi-step questions.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. A borrower with no land or property wishes to take a bank loan. The main difficulty is the lack of: 1

(a) interest **(b)** a cheque **(c)** collateral **(d)** currency

2. If a bank offers a higher interest rate on deposits, people are likely to: 1

(a) borrow more **(b)** stop saving **(c)** deposit more **(d)** withdraw all

3. Which of the following can make credit harmful for a borrower? 1

(a) high interest and uncertain income **(b)** profit

(c) low interest and stable income **(d)** adequate collateral

4. A group of 20 women each save Rs 100 a month. The group's monthly savings are: 1

(a) Rs 120 **(b)** Rs 2,000 **(c)** Rs 200 **(d)** Rs 20,000

5. A farmer borrows Rs 10,000 at 10 per cent simple interest for one year. He repays in all: 1

(a) Rs 10,100 **(b)** Rs 10,010 **(c)** Rs 11,000 **(d)** Rs 12,000

6. The RBI wants banks to lend to small cultivators and small industries because: 1

(a) it wants banks to earn less

(b) it prints notes

(c) it wants to reduce lending

(d) credit should reach all sections, not only profit-making businesses

7. A borrower's crop fails and she borrows again to repay the old loan. This could lead to: 1

(a) collateral **(b)** savings **(c)** debt trap **(d)** profit

8. A bank pays 4 per cent annual interest on deposits and charges 10 per cent on loans. The difference of 6 per cent is the bank's: 1

(a) loss **(b)** tax **(c)** collateral **(d)** source of income

9. Which of the following shows that currency is a legal tender? 1

(a) RBI forbids notes **(b)** shopkeeper cannot refuse the rupee

(c) shopkeeper can refuse the rupee **(d)** only coins accepted

10. A woman wants a small loan for her tailoring work. Which source is best able to give it without collateral? 1

(a) a commercial bank **(b)** a moneylender with high interest

(c) a Self-Help Group **(d)** a trader

SECTION — B (Very Short Answer Type) — 4 × 2 = 8

Answer in about 20–30 words each.

11. Why must a bank charge a higher rate of interest on loans than it pays on deposits? 2

12. Why is it important that SHG loans be small and flexible? 2

13. What is the aim of RBI supervision? 2

14. How does a cheque make payments easier? 2

SECTION — C (Short Answer Type) — 4 × 3 = 12

Answer in about 40–60 words each.

15. Why is a cooperative society called a formal source? 3

16. Why do banks insist on documents for loans? 3

17. How does credit increase production? 3

OR

What is the difference between currency and demand deposits? 3

18. What are the limitations of informal credit? 3

OR

Explain with an example how interest can burden a borrower. 3

SECTION — D (Long Answer Type) — 2 × 5 = 10

Answer in about 100–150 words each.

19. Analyse how the use of money has made economic transactions easier than barter. 5

OR

Why is cheap credit essential for development? Illustrate. 5

20. Evaluate the role of SHGs in providing credit to the poor. 5

OR

Examine the working of a bank with an example of deposits and loans. 5

END OF QUESTION PAPER — Total: 40 Marks

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